

MEMORANDUM

TO: Chief Human Resources Officer
FROM: Karla Lopez, Data Analyst
DATE: April 28, 2026
RE: Employee Attrition Analysis - Findings and Recommended Actions

THE BUSINESS PROBLEM

This analysis was commissioned to identify why employees are leaving and which groups are most at risk. Using records from 1,470 employees, the data reveals that 16% of the workforce departs each year.

At an industry-estimated replacement cost of \$15,000 to \$25,000 per employee (covering recruiting, onboarding, and lost productivity), this translates to approximately \$3.5M to 5.8M in annual turnover costs.

The analysis shows this attrition is not random. It is concentrated in specific employee groups, driven by specific working conditions, and preventable with targeted action.

WHAT THE DATA SHOWS

Three findings emerged consistently across the analysis:

Finding 1: Overtime is the single biggest driver of attrition. Employees required to work overtime leave at a rate three times that of those who do not (30.5% vs. 10.4%). This was the strongest and most consistent signal in the entire dataset.

Finding 2: Attrition is concentrated in a specific employee group. Approximately 351 employees (24% of the workforce) fall into a high-risk profile: early to mid-career, working overtime, and earning below \$5,000 per month. One in three employees in this group is projected to leave within the year.

Finding 3: Certain roles are losing talent at alarming rates. Sales Representatives leave at a 39.8% annual rate. Laboratory Technicians leave at 23.9%. By contrast, Managers and Research Directors leave at rates below 5%. The problem is not company-wide. It is concentrated in specific positions that are likely being underpaid or overworked relative to the market.

WHAT SHOULD BE DONE

Three actions are recommended, listed in order of priority:

Action 1: Audit and reduce mandatory overtime immediately. Overtime is the most controllable factor identified in this analysis. A targeted review of which roles and departments drive

overtime should be conducted within 30 days. Where overtime cannot be eliminated, additional compensation or staffing should be considered. Based on the data, this single action has the potential to reduce overall attrition by up to 20 percentage points in the affected group.

Action 2: Create a targeted retention program for Sales Representatives and Laboratory Technicians. These two roles account for a disproportionate share of departures. A competitive compensation review, cleared promotion pathways, and structured mentorship for employees in their first three years would directly address the risk factors identified in this analysis.

Action 3: Accelerate promotion cycles for early career employees. The data shows that the time since the last promotion is a significant predictor of departure. Employees who feel their careers have stalled are more likely to seek opportunities elsewhere. A formal 18-month review cycle for employees in their first five years would reduce this risk.

THE COST OF INACTION

If current attrition patterns continue unchanged, the organization can expect to lose approximately 235 employees per year. At a conservative replacement cost of \$15,000 per employee, that represents \$3.5M in annual turnover expense.

The 351 employees in the higher risk group represent the most immediate financial exposure. If one in three departs as projected, that is approximately 117 employees at a cost of \$1.75M in a single year from one segment alone.

By contrast, the cost of intervention is comparatively low. A structured overtime reduction policy and targeted retention program for high-risk roles could be implemented for a fraction of the figure. The return on a retention investment is measurable, immediate, and significantly higher than the cost of continued replacement hiring.

ONE IMPORTANT LIMITATION

This analysis is based on internal HR records and does not include exit interview data, external market compensation benchmarks, or employee survey responses. As a result, the analysis identifies who is most likely to leave and under what conditions, but cannot capture every individual reason for departure.

Additionally, the dataset represents a snapshot in time. Attrition patterns may shift with changes in the labor market, leadership, or company strategy. It is recommended that this analysis be refreshed annually using updated employee records to ensure recommendations remain current and relevant.

This analysis is available for further discussion at your convenience. Full technical documentation is available upon request.